

Zoetis: Innovation Unleashed

42nd Annual JP Morgan
Healthcare Conference



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Forward-Looking Statements

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to: business plans or prospects, future operating or financial performance; future guidance, future operating models, R&D costs; timing and likelihood of success; expectations regarding products, product approvals or products under development and expected timing of product launches; disruptions in our global supply chain; the impact of the coronavirus (COVID-19) global pandemic and any recovery therefrom on our business, supply chain, customers and employees; expectations regarding the performance of acquired companies and our ability to integrate new businesses; expectations regarding the financial impact of acquisitions, future use of cash, dividend payments and share repurchases, foreign exchange rates, tax rate and tax regimes and any changes thereto; and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

Non-GAAP Financial Information

We use non-GAAP financial measures, such as adjusted net income, organic operational growth, adjusted net income margin, adjusted EBITDA margin, adjusted diluted EPS and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and revenue growth, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliations of non-GAAP financial measures and the most directly comparable GAAP financial measures are available in the appendix to this presentation.

What you will hear today

Building on our leadership in animal health

We have the right strategy, talent and capabilities to shape and expand the future of animal health.

Growing in a dynamic and resilient industry

Animal health is an essential and attractive growth market, and we are confident in our ability to innovate and grow faster than the market.

Investing in capabilities and innovation that differentiate Zoetis

Continued investments in R&D and commercial excellence will drive our next phase of growth, including the expansion of our diverse portfolio with market-leading franchises.

Creating shareholder value

We are well-positioned to deliver on our value proposition, as we have done for the past 10+ years, through revenue growth, strategic investments, margin expansion and capital return.

Our purpose

To nurture the world and humankind by advancing care for animals.

Our vision

To be the most trusted and valued animal health company, shaping the future of animal care through our innovation, customer obsession and purpose-driven colleagues.



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Zoetis at a glance

70+

Years of experience

We provide:

Medicines, Vaccines,
Diagnostics, Biodevices,
Genetic tests &
Precision animal health

\$8.1B

Annual revenue

7

Major product categories

8

Core animal species

100+

Countries where Zoetis
products are sold

29

Manufacturing sites

64%

Revenue from
companion
animal products¹

35%

Revenue from
livestock
products¹

1,430

Approximate
R&D colleagues

4,200

Approximate
field force members

13,800

Approximate colleagues
worldwide

Note: Facts and figures shown are as of Dec. 31, 2022

¹In addition, revenue associated with Client Supply Services and Human Health represents 1% of total 2022 revenue.

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Our strategic priorities



Lead through innovation
across our diverse portfolio

Deliver an exceptional
experience to delight
our customers

Power our business
through digital solutions
and data insights

Support a workplace
where our colleagues
can thrive

Advance sustainability
in animal health for a
better future

Perform with excellence
and agility

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Growth opportunities for animal health

Essential demand for
protein and petcare in
the world today

Recession-resistant
nature of Animal
Health

Unmet need for
animal care and
increases in
medicalization

Pet owners
willingness to pay for
treatment and care

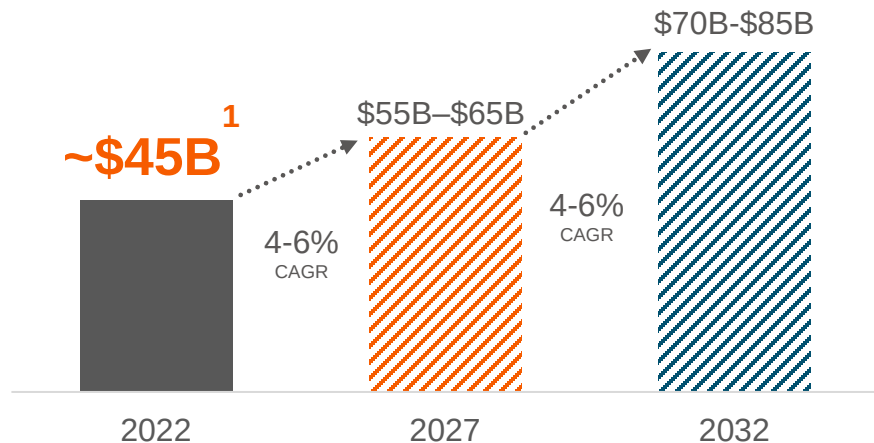
More investment in sustainable animal agriculture
practices

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Animal health poised for strong, sustainable growth

Innovation and market expansion are increasing opportunities

Expected Market Growth (\$B)¹



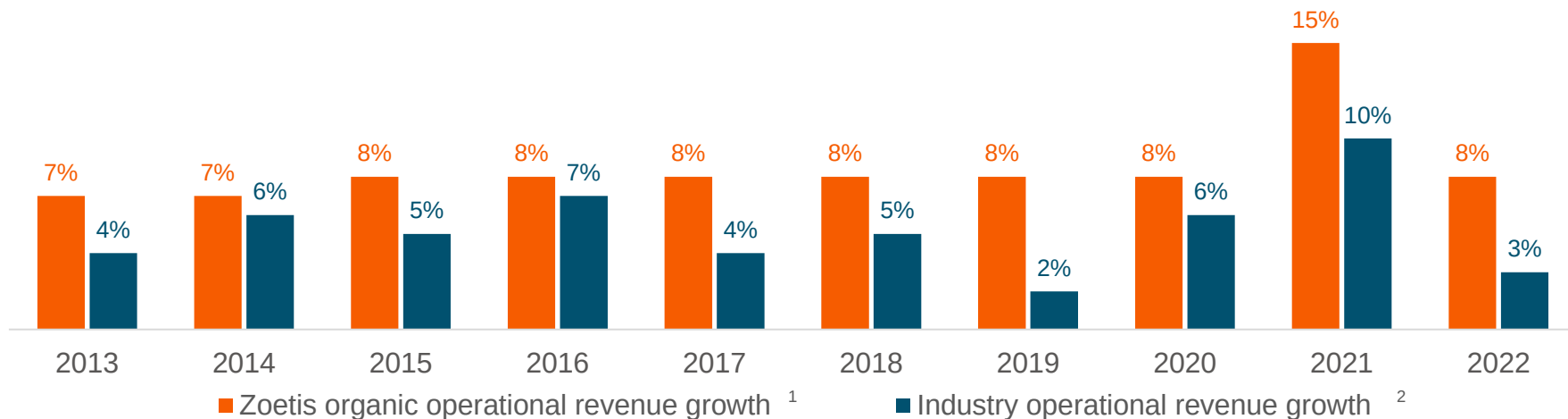
¹ Source: Zoetis internal estimates based on industry data for core animal health market and diagnostics, genetic tests and biodevices.

Key market drivers in the next 5-10 years

- Increasing medicalization
- Growing human-animal bond
- Innovating to treat chronic diseases and improve wellness
- Expanding global population and animal protein demand
- Advancing sustainable animal agriculture

Proven track record of beating the market

Zoetis has consistently grown faster than the core animal health market



8% Revenue CAGR since our IPO in 2013 compared to **5%** for the Animal Health Industry³

¹ Organic operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange, the impact of acquisitions and the operational efficiency initiative in 2016. Reconciliations of non-GAAP financial measures are available in the appendix to this presentation.

² Source: Vetrinosis for historical core animal health market, including Zoetis from 2013 to 2022, excludes diagnostics, genetic tests, biodevices and precision animal health. Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

³ Source: Vetrinosis' estimated average annual growth rates from 2013 to 2022 in the core animal health market for Zoetis (~8%) as compared to estimates for the overall industry including Zoetis (~5%). Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

Pet owners today are more focused on animal care than ever before

Younger and wealthier pet owners

Stronger human-animal bond

Increase in pet medicalization

Longer pet lives

New tech developments

Improving vet clinic spend

Zoetis revenue growth has outpaced U.S. vet clinic revenue and visits

- Solid vet clinic growth drivers saw spike in 2021 due to pandemic, now normalizing to pre-pandemic levels
- Clinic revenue growth has remained strong even with recent visit declines
- Outpaced both clinic revenue and visit growth driven by:
 - Innovation to gain share and expand the market
 - Focus on commercial excellence
 - Ability to serve customers in alternative channels
 - Diverse portfolio serving unmet needs

4-Year CAGR

8.1%¹

Total Zoetis

15.6%¹

Zoetis U.S.
Companion
Animal

7.5%²

U.S. Vet Clinic
Revenue

0.3%²

U.S. Vet Clinic
Visits

¹ Zoetis Sales Data Q3 2019 through Q3 2023

² Kynetec Data

We have a proven track record of building billion-dollar franchises

Petcare innovation differentiates Zoetis

Zoetis 2022 revenues:

Dermatology

\$1.3B

vs. <\$1M in 2013

Parasiticides

\$1.6B

vs. \$373M in 2013

Next Big Opportunity

Expected Zoetis peak annual revenue¹:

Osteoarthritis Pain (OA)

\$1B+

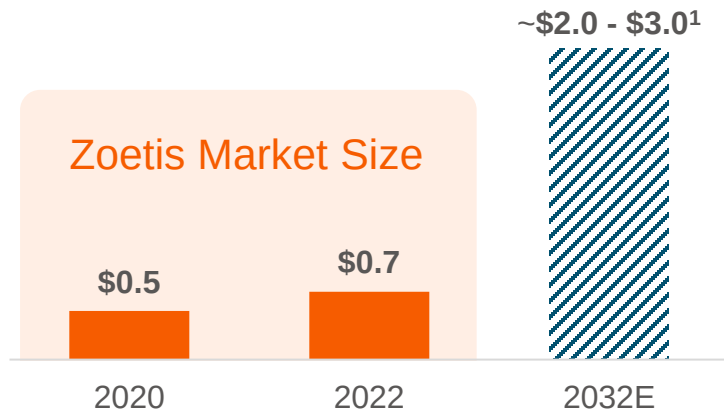
 

¹ Zoetis internal estimates

Driving the next billion-dollar opportunity: OA pain

Revolutionizing pain treatment for dogs and cats to drive outsized growth

Global OA Pain Market (\$US B)



¹ Zoetis internal estimates

Creating new market via innovation

- Librela launched in the U.S. in October 2023, confident supply outlook – building on strong momentum from Europe launch
- ‘Change the game’ vs. NSAIDS as a first-in-class therapy

Protecting our market leadership through industry-leading R&D

- Long duration anti-NGF mAbs for OA pain
- Opportunity for improved diagnostics and digital screening tools

Key products:

Librela
bedinvetmab

Solensia
frunevetmab

- Estimated peak sales of over \$1B

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Livestock continues to benefit from key fundamental growth drivers

Global
population
growth

Increased access
to animal protein
globally

Lack of relevance
of alternative
proteins

Short-term
headwinds
have dissipated

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Global demographic trends drive animal protein demand

Population growth, compounding with GDP growth, will increase meat consumption

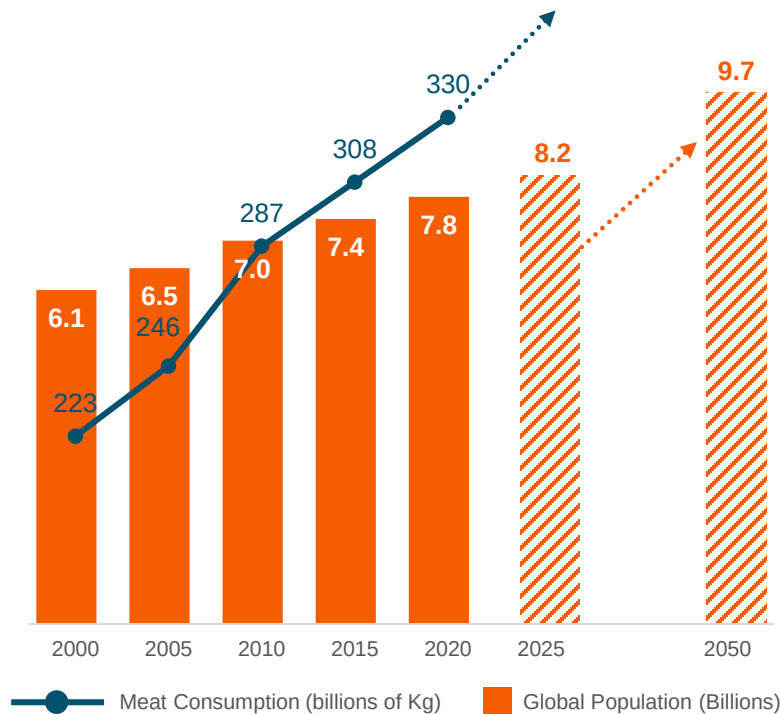


Nearly 2 billion more people to feed by 2050 globally



Animal protein consumption increases with GDP and average household income growth

Meat Consumption (Billions of Kg) vs. Global Population (Billions)



Source: UN data and projections, data compiled from multiple sources by World Bank

Emerging tailwinds in Livestock expected to propel the market — and Zoetis

Supporting market trends



Global poultry growth

Industry-leading biodevices and a rapidly developing portfolio

Shift from treatment to prevention and sustainability

Significant investment in vaccines, alternatives to antibiotics and genetics

Impact of generics

Lessening impact of generics on Draxxin

Aquaculture growing double digits annually

Zoetis is growing more than double the rate of the market

Beyond today's portfolio, our innovation roots run wide and deep

Today's franchises demonstrate:



Pipeline
delivery and
new products



Product lifecycle
enhancements

Future growth builds on:



Core R&D
expertise



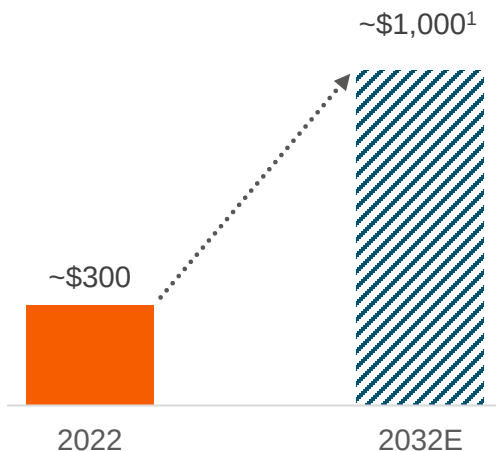
Strategic
partnerships
and business
development



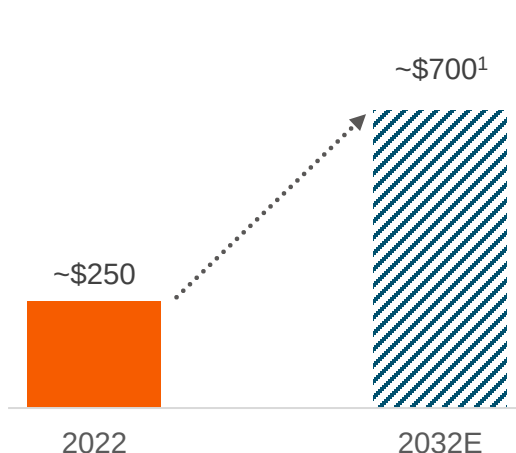
Expansion into
new species,
claims, modalities
and markets

We are investing in areas of unmet needs

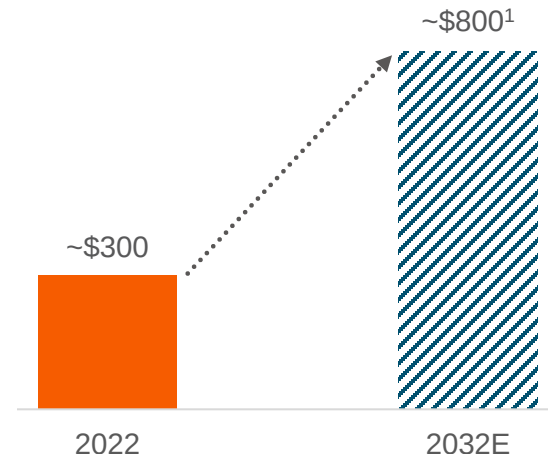
Renal Market
(US M\$)



Cardiology Market
(US M\$)



Oncology Market
(US M\$)



¹ Zoetis internal estimates

Our continued commitment to value creation

Key components of our three to five-year outlook

Grow revenue faster than the market

- Broaden existing billion-dollar franchises
- Innovate and build new franchise opportunities
- Expand across attractive emerging markets
- Accelerate commercial excellence to take share

Invest in innovation and growth capabilities

- Prioritize R&D investment in the highest ROIC opportunities
- Transform the standard of care through innovative products
- Increase supply chain capabilities, capacity and agility
- Deliver greater value to vets, producers and pet owners

Increase adjusted net income faster than revenue

- Expand revenue in higher margin product categories
- Leverage scale to drive bottom line performance
- Optimize and simplify to increase productivity and efficiency

Return excess capital to shareholders

- Reinvest in the business to drive growth
- Target strategic business development to enhance innovation
- Grow dividend above adjusted net income
- Continue systematic share buybacks



Grow annual revenue mid-to-high single digits²



Drive ROIC¹ accretion²



Enable margin improvement²



Maintain balance between investments and return of capital

¹ ROIC stands for Return On Invested Capital

² Targeted average over the forecast period

Key Takeaways

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Reconciliation Of GAAP To Non-GAAP Financial Measures

Reported Revenue Growth to Organic Operational Growth

<i>(Dollars in millions)</i>	Revenue	Change from Prior Year	Foreign Exchange	Operational Growth ¹	Acquisitions	Operational Efficiency Initiative ²	Organic Operational Growth ³
2013	\$4,561	5%	(2)%	7%			
2014	\$4,785	5%	(2)%	7%			
2015	\$4,765	—%	(8)%	8%			
2016	\$4,888	3%	(2)%	5%	2%	(5)%	8%
2017	\$5,307	9%	1%	8%			
2018	\$5,825	10%	—%	10%	2%		8%
2019	\$6,260	7%	(3)%	10%	2%		8%
2020	\$6,675	7%	(2)%	9%	1%		8%
2021	\$7,776	16%	1%	15%			
2022	\$8,080	4%	(4)%	8%			

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

² Includes product and market rationalizations, as part of the operational efficiency initiative

³ Organic operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange and acquisitions, and in 2016, called Normalized Organic Operational Growth, also excluded the operational efficiency initiative